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**India aspires to be the third-largest economy in the next few years. What are your policy prescriptions going forward? What further reforms are needed?**

The government has carried out a lot of reforms such as GST, the Insolvency and Bankruptcy Code, RERA 2016, as well as reduction of the corporate tax rate. The major reforms have all been carried out. To my mind, two key reforms that are still important and that will probably be carried out after the General Elections [are] related to labour and the customs duty regime to boost manufacturing. If India has to become

a major manufacturing nation and become a driver of growth, then its customs duty regime must enable it to become a major manufacturer and exporter of goods. The third big growth factor will be sustainable urbanisation, which every state has to drive... Lastly, a lot of ease of doing business has been done by the Government of India; the next lot of measures has to be done by the state governments. India's growth is a function of the growth of its states.

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**What measures are required so that the customs duty regime can boost manufacturing?**

My belief is that we need to lower input costs. If we are an exporter, the global value chain works when we lower our import duties. Then one can become competitive on inputs and components and then over a period of four to five years, one can manufacture those components domestically. That's how global value chains work.

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**Do you think enough has been done for ease of doing business and the manufacturing sector?**

States are very critical to India's growth. It can't be that only the southern and western parts grow; we need the eastern part of India—

Jharkhand, Chhattisgarh, Bihar—that are very rich in mineral resources to grow as well. Uttar Pradesh (UP) is now a driver of growth and is growing rapidly. It is focussed on infrastructure. UP is a highly populous state and there's a belief that if it was a country, it would be the fifth-largest country in the world. If UP can do this and it is doing this under the leadership of its Chief Minister Yogi Adityanath, then all other states should also be able to do so. If all other states in the eastern part of India grow, then India will grow at double digits.

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**India is working on a number of trade deals. What is your expectation on how they will impact the economy?**

My view is that if we have to be a part of global value chains, we should work towards having free trade agreements (FTAs) with some of these countries. We should look at pushing this rapidly forward because that will increase the size of our market. It should not just be a domestic market. Some of our industries like vehicles would also benefit from these FTAs as they will help them to export to global markets. **BT**

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